

- **Accounting firm Ernst & Young attract and retain a satisfied, motivated, and loyal work force by encouraging employees to utilize flexible work hours.**
- **Chung Mong-koo, chairman of Hyundai Motor Company, is well known for articulating difficult and specific goals as a potent motivating force. Challenging employees to reach high goals has helped Hyundai experience tremendous growth in recent years.**

8.8 Theories of motivation

Management can do its job effectively only through motivating people to work for the accomplishment of organisational objectives. Major theories of motivation is presented as under.

1. Maslow's Hierarchy of Needs Theory
2. McGregor's X and Y theory
3. Herzberg's Two-factor theory
4. McClelland's Need theory
5. Vroom's Expectancy theory
6. Equity theory

8.9 Maslow's Hierarchy of Needs Theory

Maslow's hierarchy of needs is a description of the needs that motivates human behavior. In 1943, Abraham Maslow proposed five different kinds of human needs, beginning with the most basic: survival.

Physiological needs, such as food and shelter, are followed by needs related to safety. Next, there are needs of love and belonging. Fourth, human have needs of esteem, such as the need for being respected. The final need in the hierarchy is the need for self-actualisation (fulfilling one's potential). The hierarchy suggests that basic needs must be met prior to less basic needs, for example, a starving person will seek food before self-actualisation.

The well known approach to motivation is Abraham Maslow's Hierarchy of Needs theory. He hypothesized within every human being exists a hierarchy of five needs.



Figure 8.5 Maslow's Hierarchy of Individual Needs

1. **Physiological needs:** Include hunger, thirst, shelter and other bodily needs. At work level, this need can be met through by providing good working conditions, attractive salary, subsidized housing, free food etc.
2. **Safety needs:** Includes security and protection from physical and emotional harm. At work level, this need can be met by providing safe working conditions, private health insurance cover, Attractive pension provisions etc.
3. **Social needs:** Includes affection, a sense of belonging, acceptance and friendship. The following can be provided to take care of these needs, company sports and social clubs, office parties, outings, permission for informal activities and encouraging open communication.

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